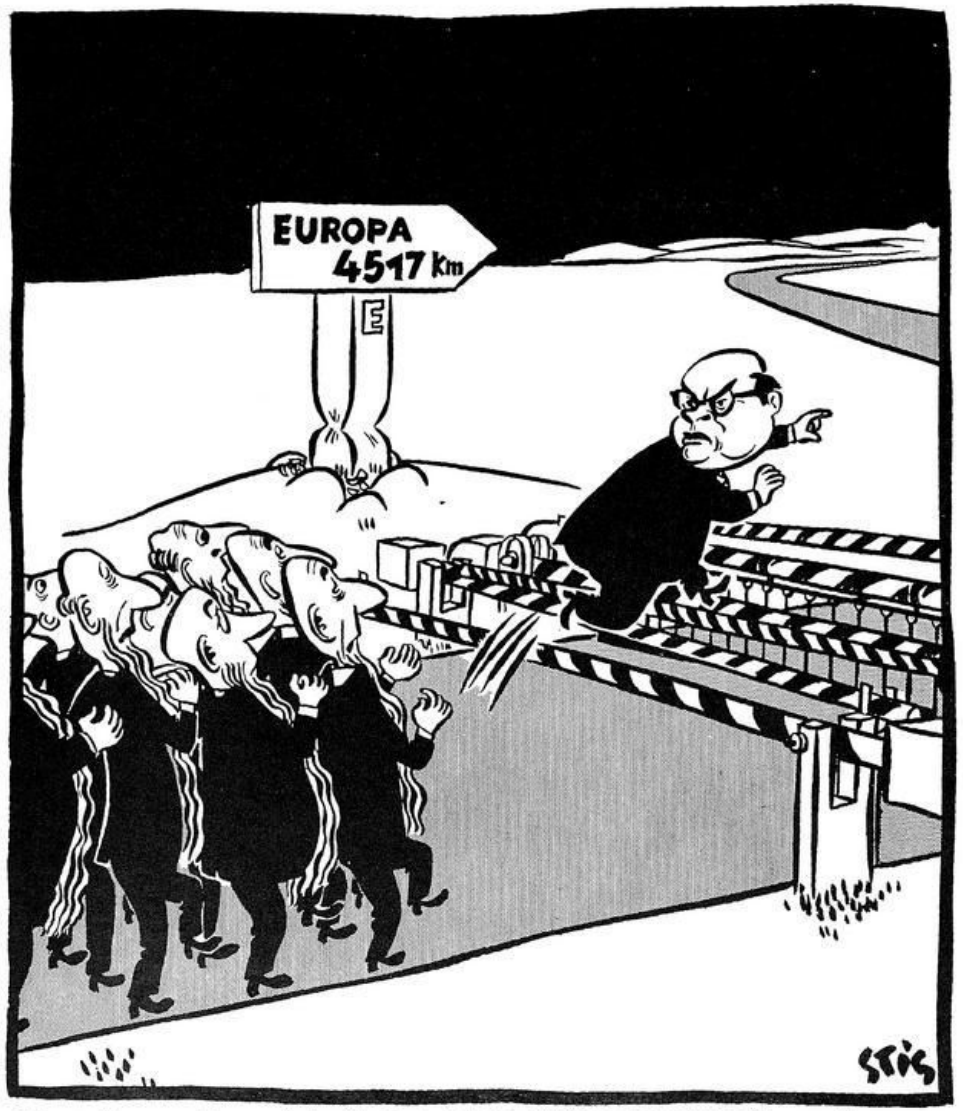
EUROPEAN ECONOMIC COMMUNITY

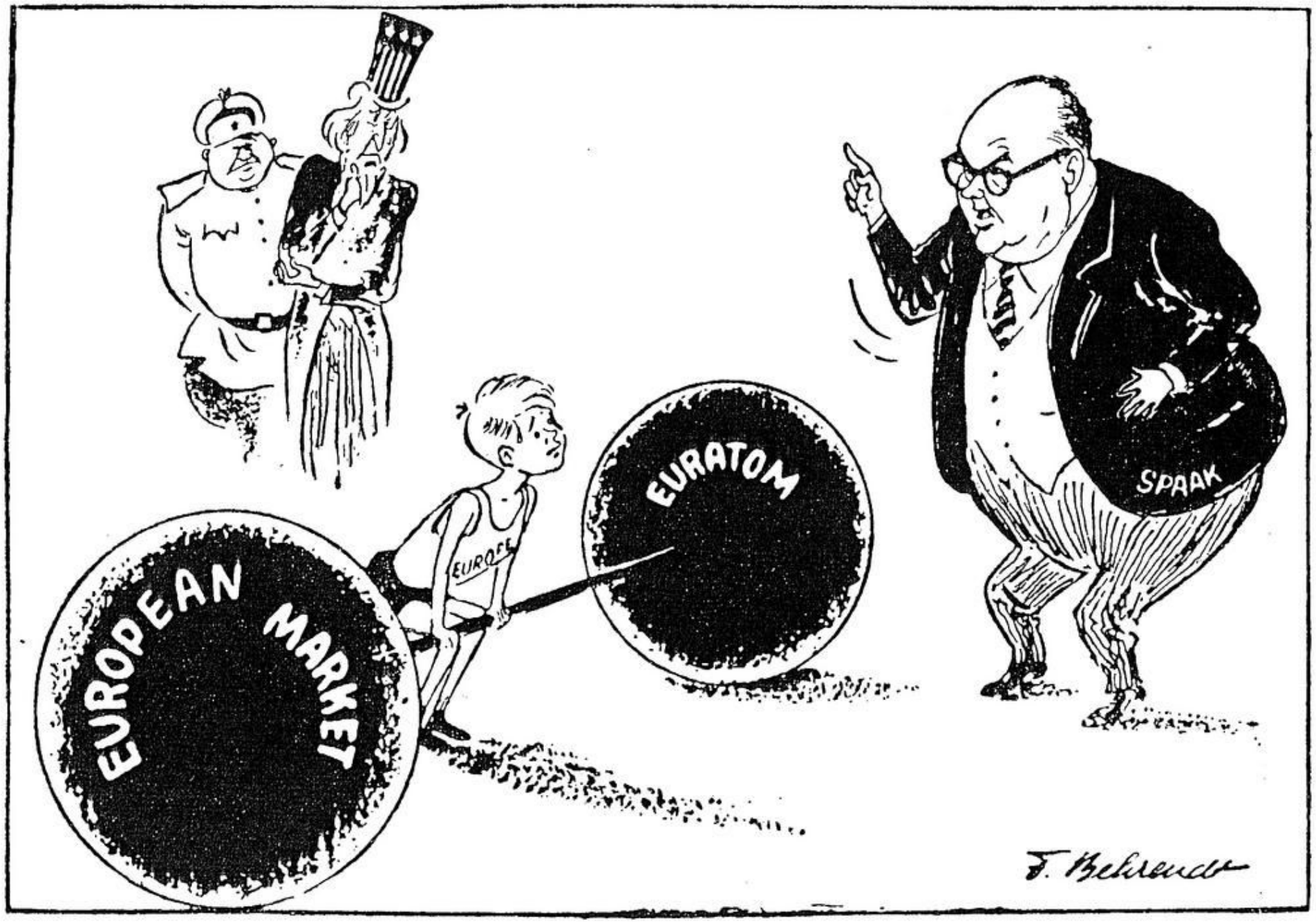
SPAAK REPORT, 1956

- In Messina, 1956: Paul-Henri Spaak, the Belgian foreign minister recommended that the members of the ECSC continue to pursue unity by focusing on economic integration. He also proposed to extend the model of ECSC to other areas of the economies. Britain refused to participate.



„Wenn Ihr so weiter auf der Stelle tretet, Ihr Weihnachtsmänner* . . . . . "

* Anm. d. Red.: Der Ausdruck „Weihnachtsmänner" wurde Herrn Spaak von uns nur in den Mund gelegt, damit unsere Titelseite wenigstens einen kleinen weihnachtlichen Anstrich hat.



Eins, zwei, drei

TREATY OF ROME, 1957

- After a year of negotiations the Treaty of Rome was signed on 25 March, 1957. It established the European Economic Community (EEC) and European Atomic Energy Community (Euratom). There were three core aims:
  - Promote economic activity
  - Raise the standard of living of the people
  - Forge "an ever closer union among the peoples of Europe"

STRUCTURE OF THE EEC

- **The Commission**: they would run the EEC and implement the Treaty. Comprised of nominees of the member states but was independent of member states. "The engine of the Community"
- **The Council of Ministers:** national ministers met to discuss common issues and make decisions. Role: to protect the national interests of member-states.
- **The European Parliament:** members were nominated by national parliaments. Little real power. They could comment on policies, but not to propose or amend them.
- **The Court of Justice:** it ruled on interpretations of the treaties and disputes between the other institutions and member states. It could overrule the laws of member states.

- For more than 60 years there has been a struggle between the Commission and the Council over which is the most powerful institution. The Council remains the most powerful. The Commission can make a difference only if supported by the powerful member states (France, Germany)

KEY POLICIES OF THE EEC

- **Free trade area**
- **Customs union** – common external tariff was put in place
- **Common market** – free movement between member states
- **Common Agricultural Policy** – guarantee prices for agricultural product and subsidise the difference between these prices and market prices
- **European Investment Bank** – channel money to the less developed regions – vital for poorer members
- **Coordination** of fiscal, monetary and exchange rate policies

- **In 1967** the EEC the ECSC and Euratom merged to create the **European Community**.

THE EEC, 1958 TO 1973 – PROBLEMS AND SUCCESSES

- How to balance community and national interests? Tensions in 3 areas during the first 15 years:
- **Britain and the EEC**
- **The "empty chair" crisis**
- **Community policies.**

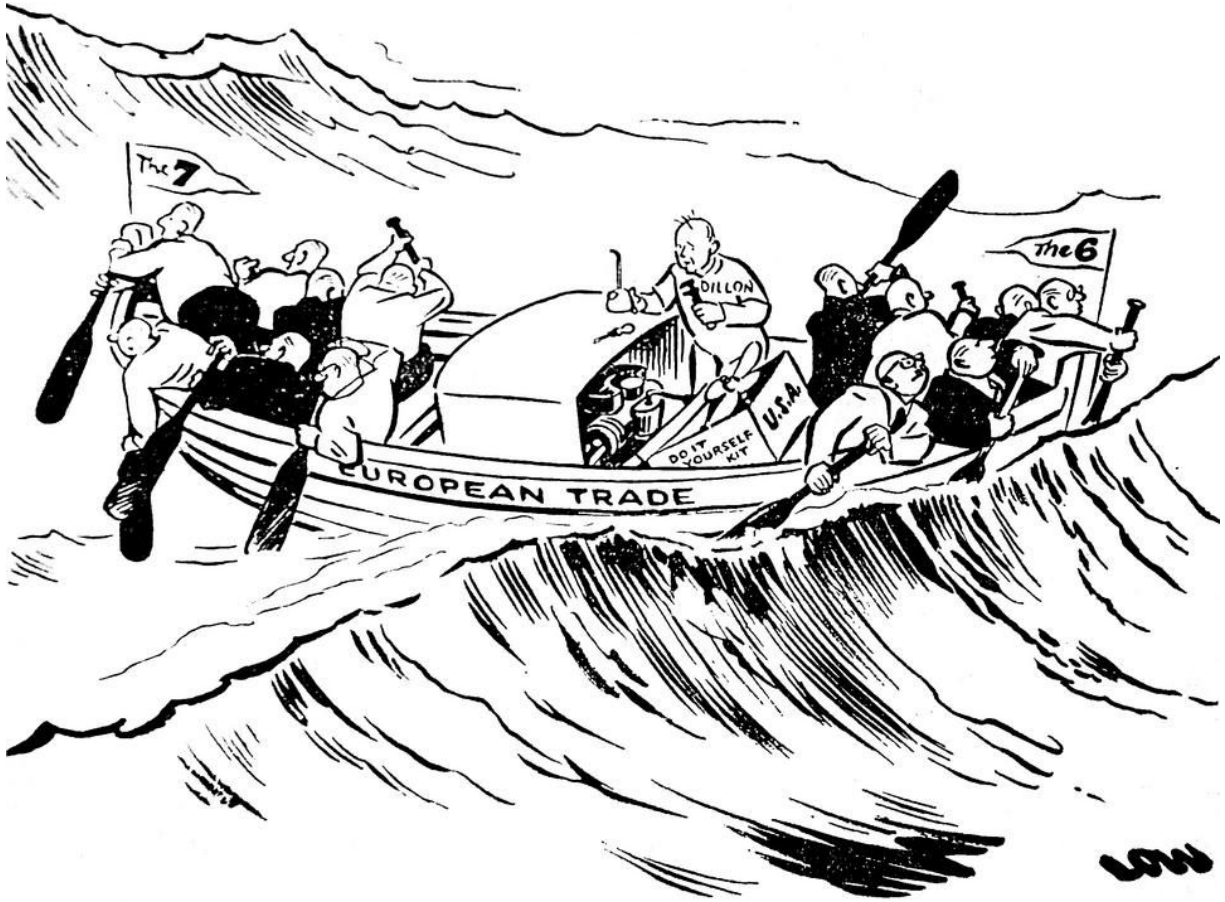
- Common issue in all three cases: **Charles de Gaulle** became president of France in 1958 and wanted to preserve French sovereignty and put France's national interests first.

HOW DID CHARLES DE GAULLE'S ACTIONS AFFECT EUROPEAN UNITY?

- Charles de Gaulle had a unique vision for Europe, favouring sovereign states over a supranational entity
- His policies were notably influenced by France´s entry into the Common Market in 1958
- De Gaulle demanded the establishment of the Common Agricultural Policy to protect French agriculture interests, leading to tensions
- He also vetoed British entry into the European Community twice (1963, 1967) due to economic concerns and fears of American influence
- Hi proposed the Fouchet Plan, an intergovernmental structure opposed to supranational cooperation.-"empty chair crisis". The plan was denied by other countries.

BRITAIN AND THE EEC

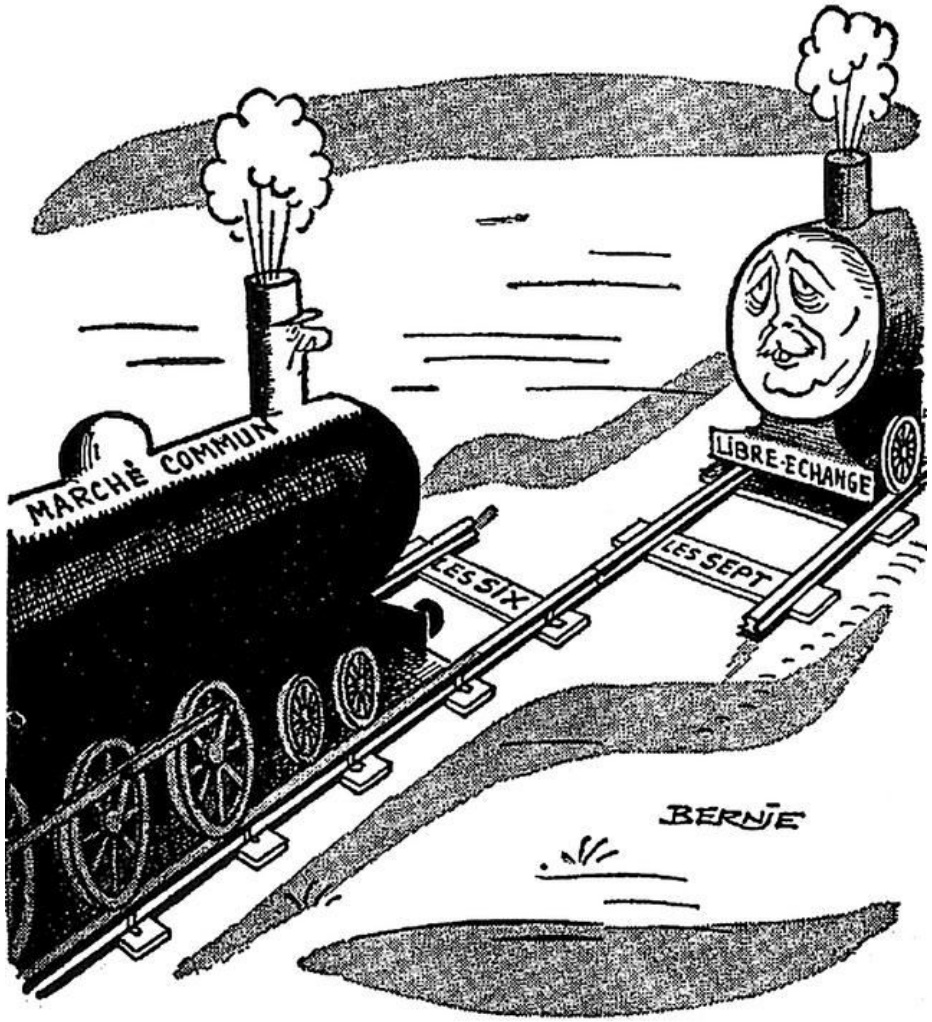
- Britain wanted to benefit from integration without sharing power. So, the **European Free Trade Association (EFTA)** was launched in 1960. Members: the UK, Austria, Denmark, Portugal, Sweden, Switzerland, Norway (1960), with Iceland, Finland and Liechtenstein joining later.
- **Goal**: to abolish tariffs between member states without threat to national sovereignty
- The EFTA would allow the UK to set its own external tariffs, maintain its special relationship with the commonwealth countries and avoid participation in CAP
- BUT: Not the same benefits as the EEC



ALL IN THE SAME BOAT

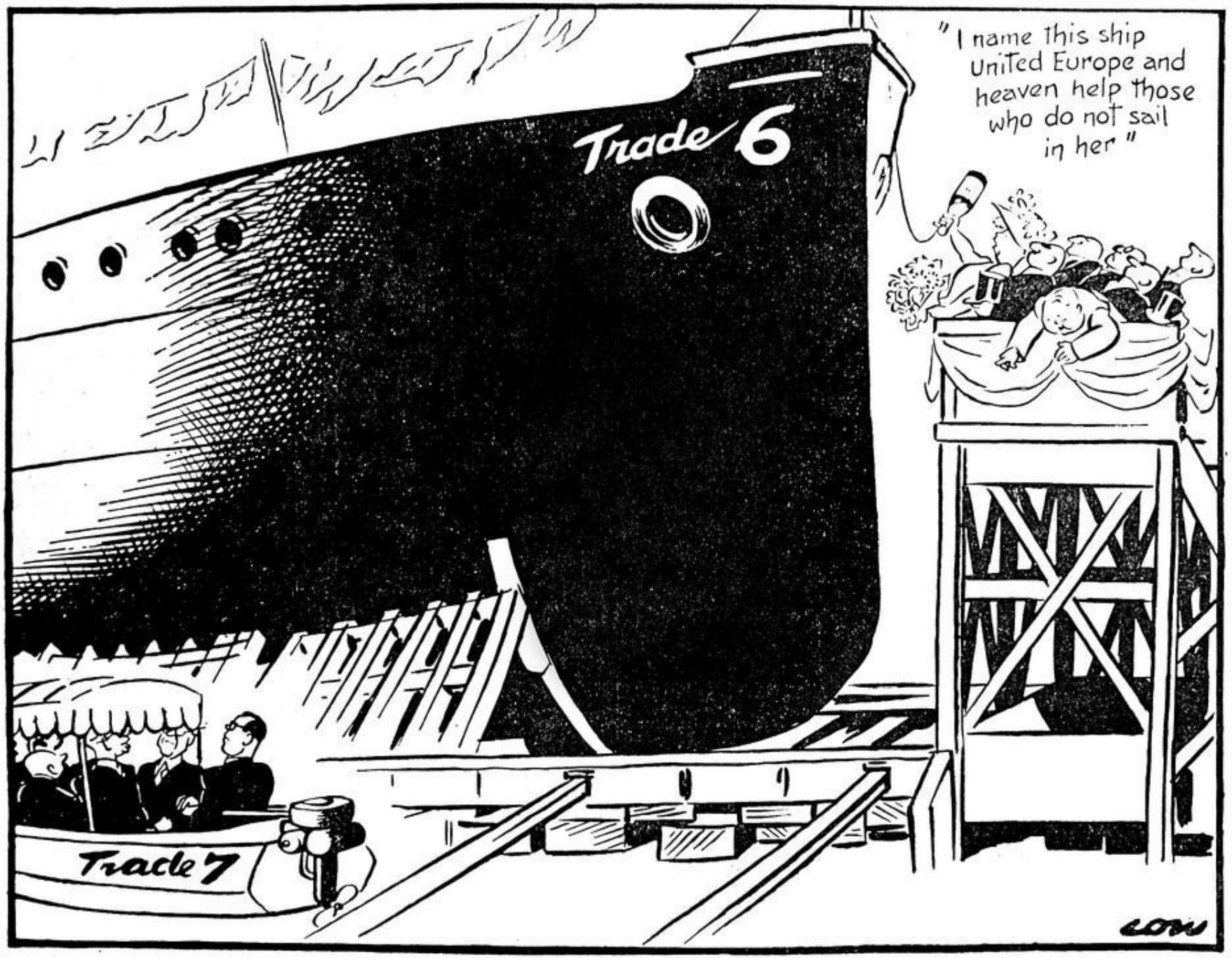
Ein Europa – zwei Märkte

One Europe, two markets



— On n'est pas encore prêts à se rencontrer.

We are not ready to meet.



LAUNCHING REHEARSAL

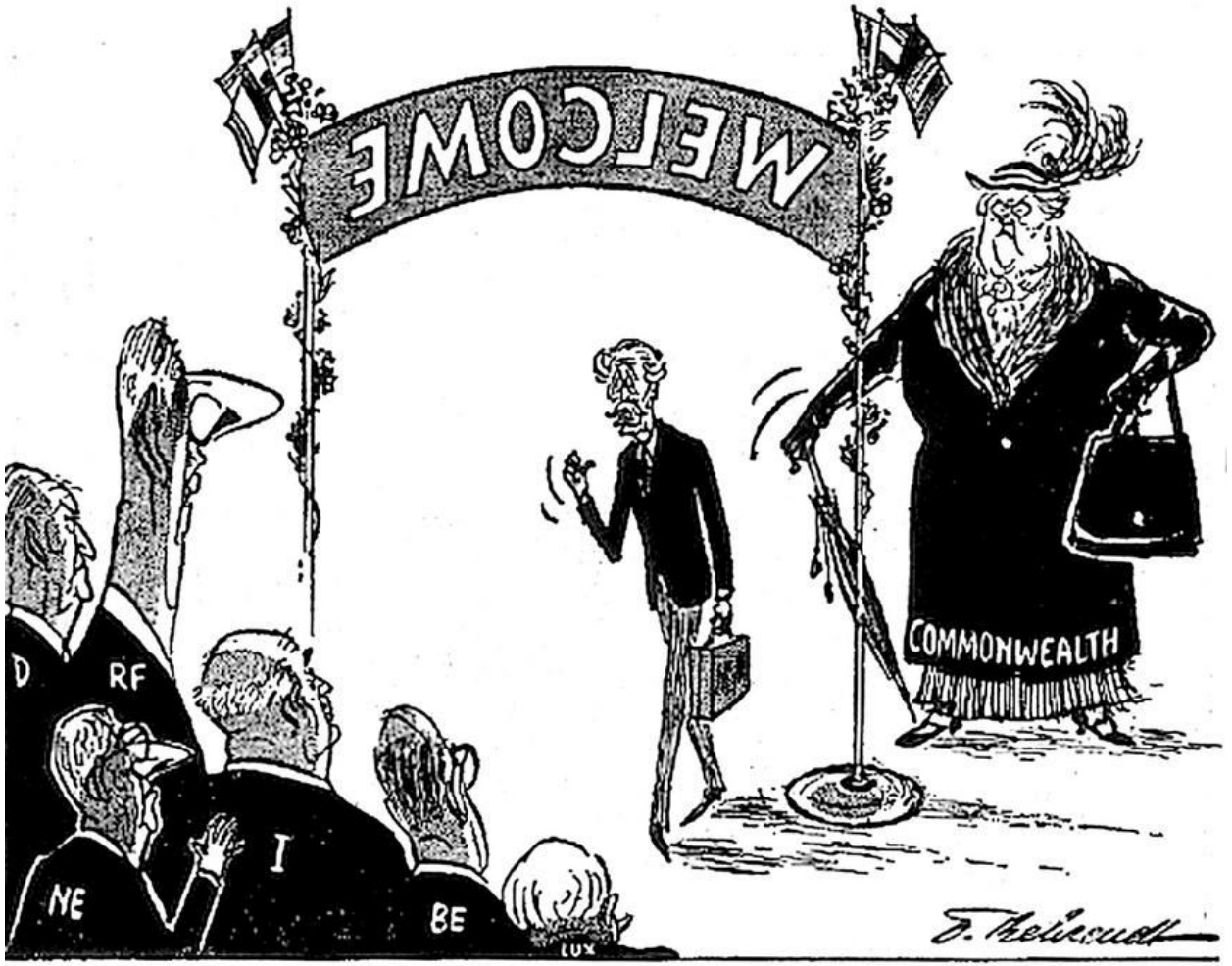
BRITISH MEMBERSHIP APPLICATION TO THE EEC

- Failure of the EFTA and refusal of the EEC to negotiate a trade deal with the EFTA, prompted the UK to apply for EEC membership in 1961. The USA (Kennedy) said to the British Prime Minister Harold Macmillan in 1962 that a Britain outside the EEC was less important to the US. So, the British fear political isolation.
- France and De Gaulle vetoed British membership in 1963 and 1967. He said he believed:
- 1. Britain would dilute the EEC into just a free trade area
- 2. Britain was to close to members of its Commonwealth
- 3. Britain would make the EEC subservient to US foreign policy interests.
- 4. Britain would challenge France's dominance

His successor, Georges Pompidou, allowed Britain to join in 1973 as a counter balance to Germany's political and economic domination of the Community

Cartoon by Behrendt on the United Kingdom's negotiations to join the EC (10 December 1961)

'Macmillan: "You don't mind, do you, if my aunt watches over me?"'



MACMILLAN : « *Vous acceptez bien, n'est-ce pas, que ma tante me surveille ?* »

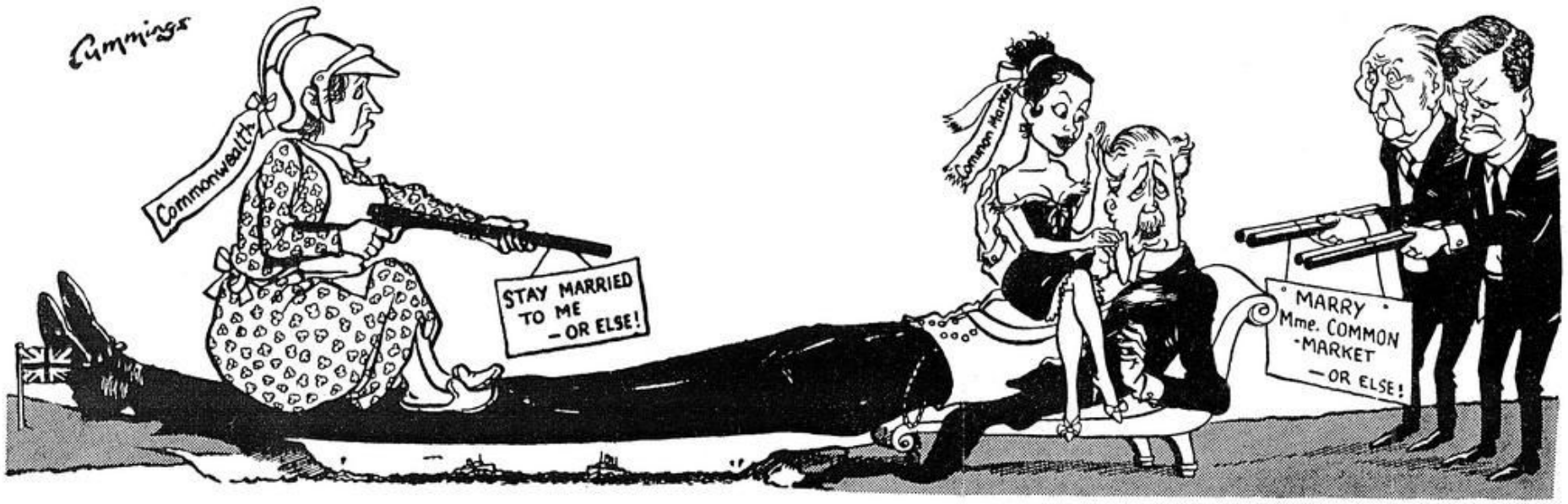
'Mister MacMillan, maar niet alleen' (1962)

Mr MacMillan, but not all

Zeichnung: Wigo Siegl

Antreten zum Essenfassen! stand in line to eat

„Komm, Daddy – wir wollen diesen Eintopf nicht!"

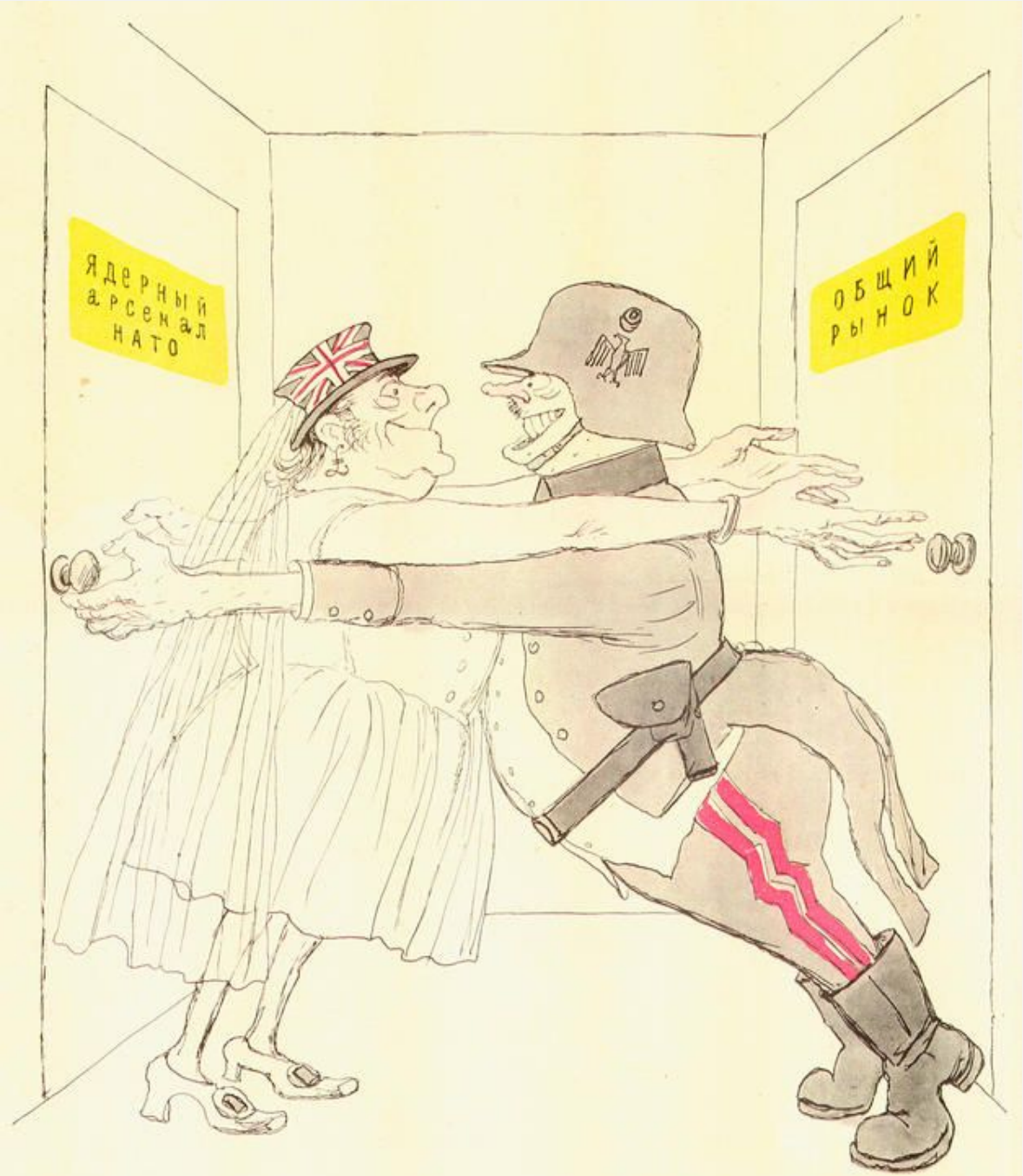


Eine Zwangsehe reicht mir – aber zwei gleichzeitig . . .

Cartoon by Cummings on the issues surrounding British accession to the EEC

'One shotgun wedding is enough, but two at once …' The British cartoonist, Michael Cummings, portrays the dilemma facing the United Kingdom: remain faithful to the Commonwealth or join the European Economic Community.

Cartoon by Kukryniksy on the British application for accession to the EEC (March 1969)
In March 1969, the Soviet weekly magazine *Krokodil* portrays the United Kingdom's application for accession to the European Common Market as a marriage of convenience and sees it as a political calculation on the part of the Federal Republic of Germany (FRG) in order to secure access to the British nuclear arsenal.



БРАК ПО РАСЧЕТУ

THE "EMPTY CHAIR": DE GAULLE VERSUS THE EEC

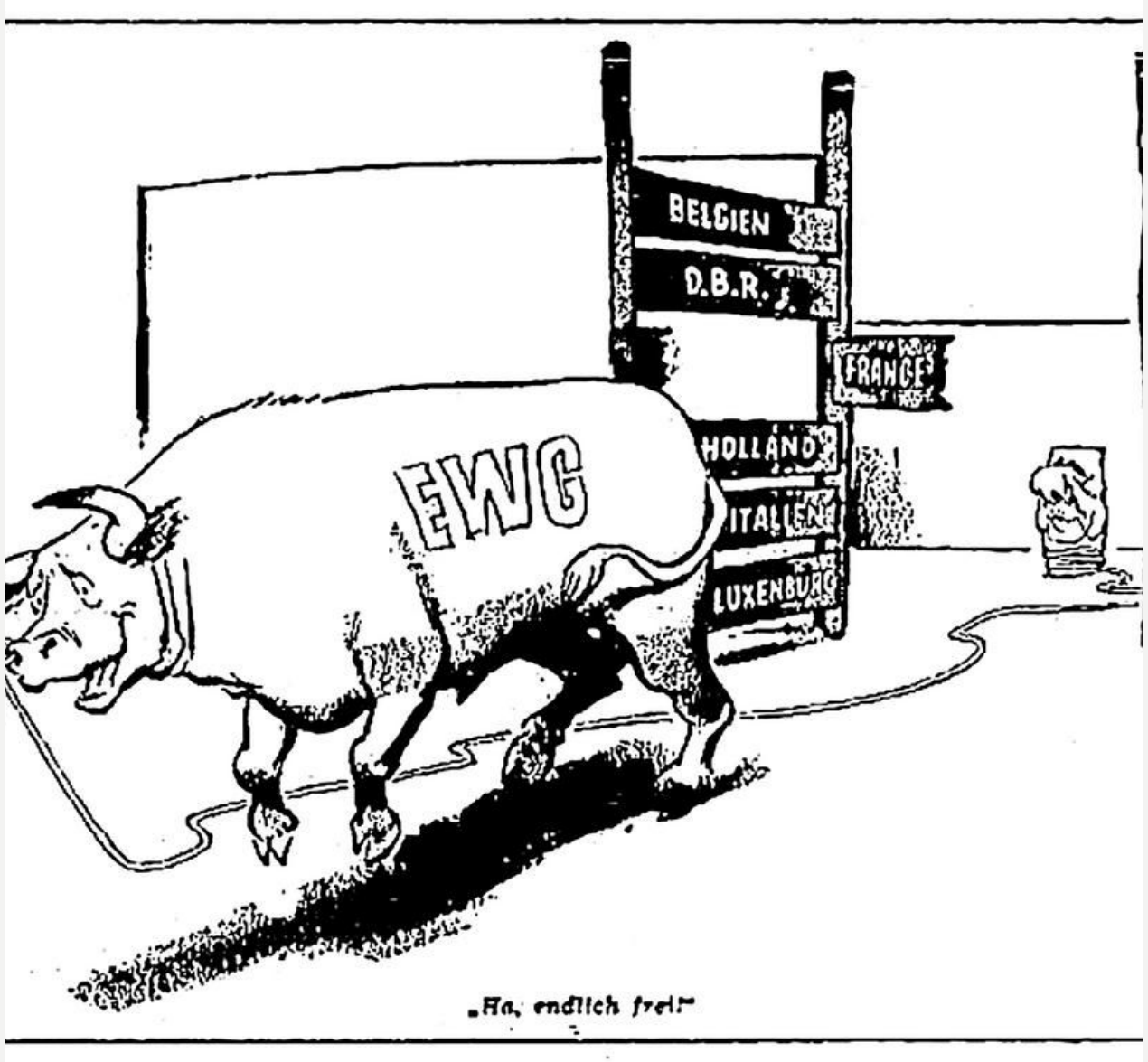
- De Gaulle was hostile to federalism. He put forward proposals for looser political cooperation in 1962, but these were rejected by the other member states. Then, in 1965,
- 1. **Walter Hallstein** (first president of the European Commission) wanted to create a "self-financing" or "own sources" **EEC budget, separate from national budgets.**
- 2. It was planned that by 1966 there would be **qualified majority voting** into the Council of Ministers.
- De Gaulle saw a major threat to national sovereignty. In protest **France withdrew from the meetings of the Council of Ministers from June 1965 to January 1966** until the adoption of the Luxembourg Compromise

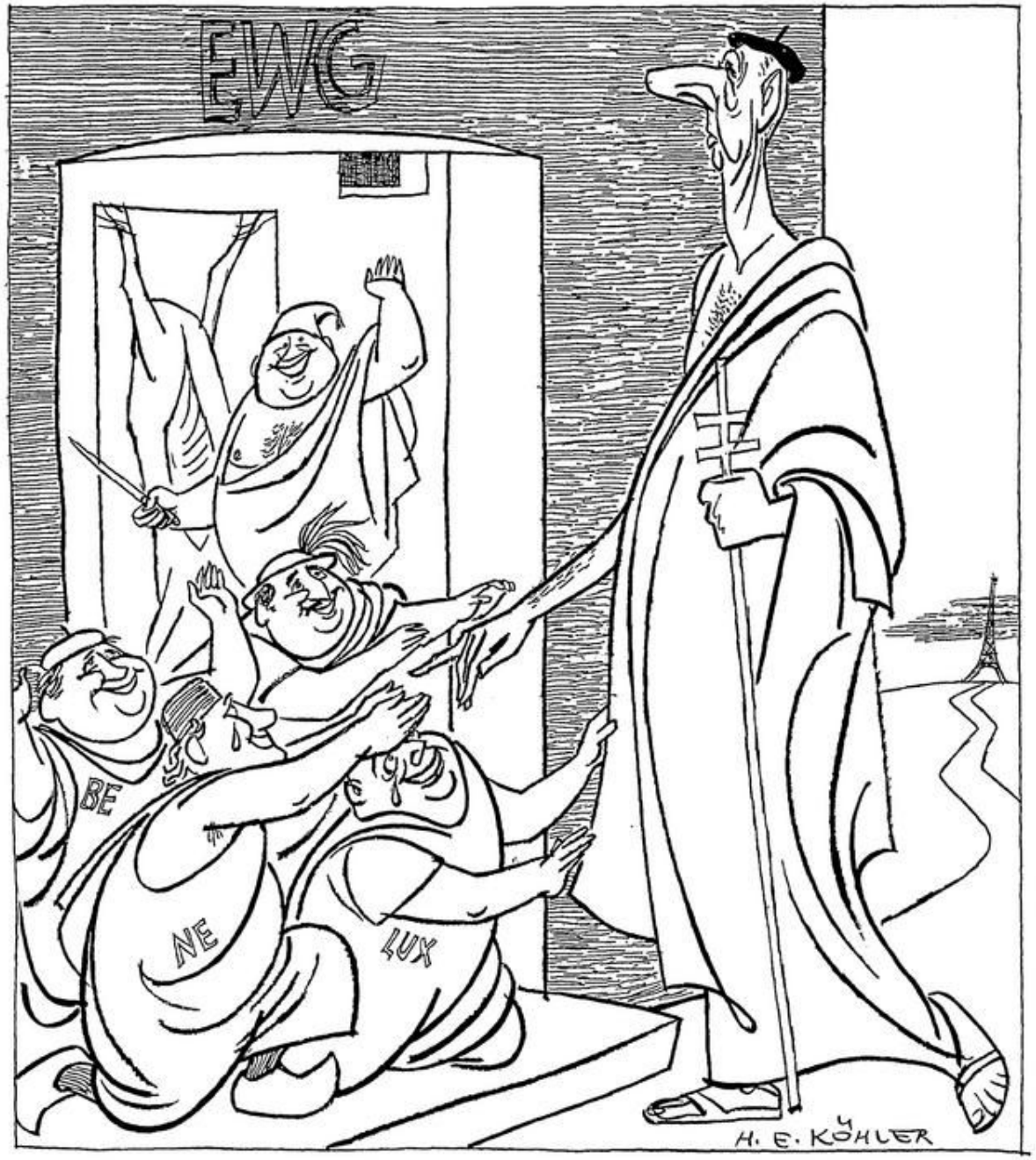
LUXEMBOURG COMPROMISE

- A summit meeting in January 1966.
- 1. **Hallstein's budget proposal was rejected.**
- 2. On matters of "**vital national interest**" to one or more member states, reinforcing unanimity over majority voting for critical, sensitive issues All states would have a **veto**.
- Quickly all matters became of "vital national importance". This slowed down the decision making process and brought decline in integration till the 80s

Cartoon on the Luxembourg Compromise (1 February 1966)

‘Free at last!’ On 1 February 1966, the Austrian Socialist daily newspaper Arbeiter-Zeitung illustrates the Luxembourg Compromise which puts an end to the empty chair crisis and the paralysis of the European Economic Community (EEC) following the temporary boycott by France.





The return of the prodigal brither

Die Heimkehr des verlorenen Bruders

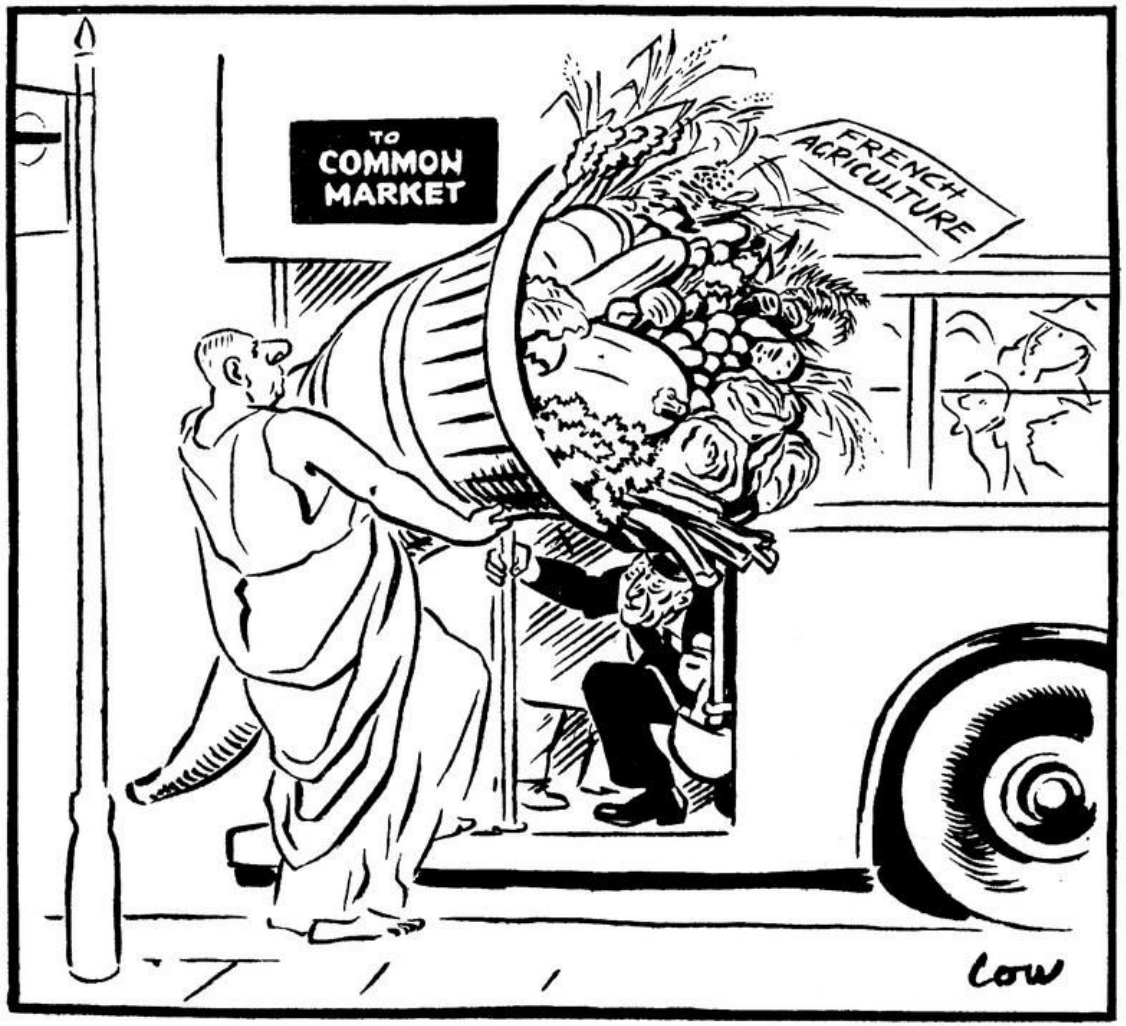
COMMUNITY POLICIES: SUCCESSES AND FAILURES

The Common Market

- Quotas and tariffs on trade were quickly abolished and free trade was achieved by 1967 – a market of 170 million people. This contributed to the economic boom of the 50s:
- Growth was faster than that of the US or the UK
- Trade within the EEC doubled
- Economies grew 50% between 1958 and 1973
- Unemployment fell by 50% by 1973

The Common Agricultural Policy

- The Cap was established in 1962, guaranteeing prices of produce to farmers.
- It meant higher prizes for consumers.
- Increases in agricultural production and farming incomes
- No movement to create common policies in the areas of fisheries, regional and social policies.



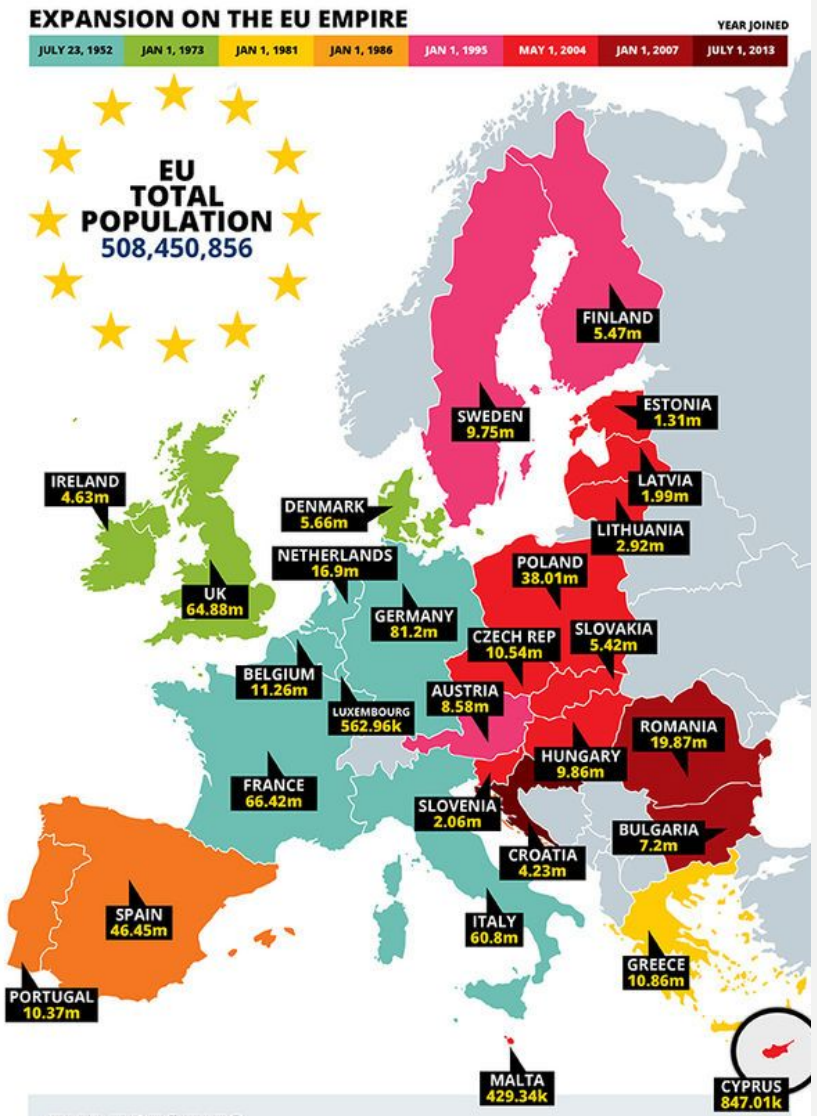
"HEY! YOU WANT TO HIRE THE WHOLE BUS?"

The peasant wars are not yet over.

Die Bauernkriege sind noch nicht vorbei . . .

"This Is the Toughest Puzzle of the Whole Series and We've Got to Put It Together if Possible."
F.D.R.
FARM RELIEF PUZZLE

In 1973 the expansion from 6 to 9 members. Ireland, Britain and Denmark joined.



THE TREATIES

PARIS 1951 European Coal and Steel Community set up. Comes into force in 1952

ROME 1957 Six original members create the EEC

BRUSSELS 1972 Treaty of Accession signed with Britain, Ireland, Denmark to join in January 1973. Norway stays out after a referendum

1979 First direct elections to European Parliament

1985 Schengen Agreement: Abolishes internal borders across most of EU

1986 Luxembourg Single European Act is signed

1992 Maastricht Treaty. Paving way to single currency

1997 Amsterdam Treaty: Increased powers for the European Parliament

2001 Nice Treaty: Abolishing many national vetoes

2007 Lisbon Treaty: Abolishing national vetoes, creating a European Constitution and a European diplomatic corps